

Government's support for Vodafone-Idea is misplaced

In September 2021, the Union government announced a series of measures to support the **ailing** telecom sector. These included **redefining** what **constitutes** adjusted gross revenues, cutting **spectrum** usage charges, and a **moratorium/deferment** on unpaid **dues**, among others. As part of the measures, the government also created an option that allowed for the conversion of interest amounts and dues **pertaining to deferred payment** into equity. In early 2023, the government chose to convert Rs 16,133 crore of interest dues owed by Vodafone Idea into equity. And now, a few days ago, it decided to convert the **outstanding** spectrum auction dues of Rs 36,950 crore into equity. As a consequence, the government will now own roughly 49 per cent of Vodafone Idea. The **existing promoter**, the Aditya Birla Group (its **stake** in the entity will come down from 14.41 per cent to 9.5 per cent) and Vodafone Plc (whose ownership will fall to 16.07 per cent from 24.39 per cent), **will**, however, continue to **exercise** operational control over the company.

This conversion will ease the company's cash flow **woes**, giving it **breathing space in the near term**. But the question is: Will it help turn around the **fortunes** of the **beleaguered** telco? Vodafone Idea has been seeing a **steady erosion** in its customer base. As of December 31 2024, the company had 199.8 million subscribers, down from 215 million in the third quarter of 2023-24. Its average revenue per user (ARPU) stood at Rs 156 in September 2024 compared to Bharti Airtel's Rs 233 and Reliance Jio's 195. The company also has the lowest data usage (GB per subscriber per month) amongst the three players. **Its strategy** to improve its position **seems** to **rest on undertaking capital expenditure** to strengthen its 4G network and **roll out** 5G services speedily which could help push up subscriber numbers and revenues. But, as reported in this paper, Vodafone Idea also owes around Rs 2.3 lakh crore as of December 2024, of which Rs 77,000 crore is **on account of** AGR dues and Rs 1.4 lakh crore is the spectrum **liability**. Any further **conversion** of dues owed by the telco **would result in** the government's **stake** crossing 50 per cent. Should continued support be **extended** to the **financially stressed** telco?

The Indian telecom sector is dominated by two strong players — Reliance Jio and Bharti Airtel. There is a concern that in the absence of support extended to Vodafone Idea, and with public sector telcos continuing to struggle, a **duopoly**-like market structure would be to the **detriment** of consumers. But the focus of policy should be to protect competition, not financially stressed competitors. Government should **facilitate** the entry and exit of private players. Any other **intervention** will only risk **distorting** the market.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

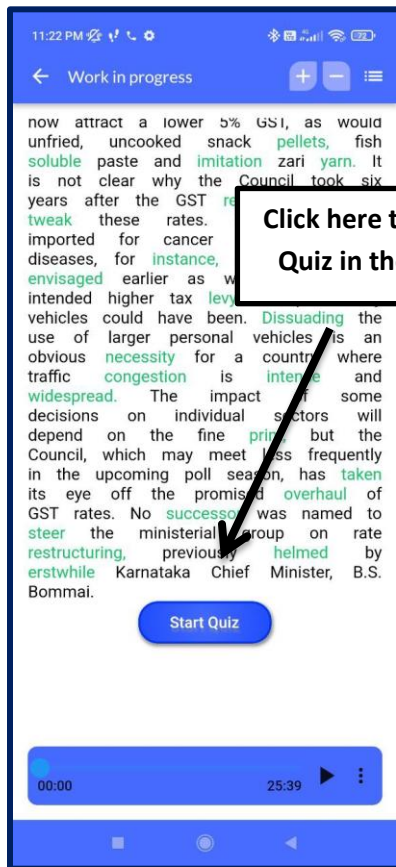
1. **Misplaced** (adjective) – ill-advised, misguided, misjudged, ill-founded, unsuitable अनुचित या गलत
2. **Ailing** (adjective) – struggling, troubled, faltering, weak, declining संकटग्रस्त
3. **Redefine** (verb) – re-conceptualize, revise, reframe, reshape, rework नए सिरे से परिभाषित करना
4. **Constitute** (verb) – form, compose, make up, comprise, establish गठित करना
5. **Spectrum** (noun) – the entire range of wavelengths of electromagnetic radiation
6. **Moratorium** (noun) – a temporary stopping of an activity, especially by official agreement अस्थायी रोक
7. **Deferment** (noun) – postponement, delay, extension, adjournment, rescheduling स्थगन
8. **Due** (noun) – payable amount, fee, debt, obligation, charge देय राशि
9. **Pertain (to)** (verb) – relate to, concern, be relevant to, deal with, be associated with संबंधित होना
10. **Deferred payment** (noun) – an agreement to pay for something at a later date स्थगित भुगतान
11. **Outstanding** (adjective) – unpaid, unsettled, pending, owed, due बकाया
12. **Existing** (adjective) – current, present, prevailing, in place, operative मौजूदा
13. **Promoter** (noun) – a person who organizes or provides the money for an event प्रवर्तक
14. **Stake** (noun) – share, interest, holding, ownership, investment हिस्सेदारी
15. **Exercise** (verb) – apply, wield, utilize, employ, exert प्रयोग करना
16. **Woes** (noun) – troubles, difficulties, hardships, problems, misfortunes परेशानियाँ या मुश्किलें
17. **Breathing space** (noun) – an opportunity to pause, relax, or decide what to do next राहत का समय
18. **In the near term** (phrase) – shortly, soon, in the immediate future, temporarily, in the short run निकट अवधि में
19. **Fortune** (noun) – fate, prospects, success, outcome, destiny भाग्य या भविष्य
20. **Beleaguered** (adjective) – troubled, under pressure, in distress, besieged, hard-pressed मुसीबतों से घिरा
21. **Steady** (adjective) – stable, consistent, constant, regular, unwavering स्थिर

22. **Erosion** (noun) – gradual reduction, decline, deterioration, depletion, wearing away घटौती
23. **Rest on** (verb) – depend on, rely on, be based on, hinge on, lean on निर्भर होना
24. **Undertake** (verb) – embark on, begin, take on, start, commit to आरंभ करना
25. **Capital expenditure** (noun) – money spent by a business or organization on acquiring or maintaining fixed assets, such as land, buildings, and equipment. पूँजीगत व्यय
26. **Roll out** (phrasal verb) – launch, introduce, implement, unveil, initiate लॉन्च करना
27. **On account of** (phrase) – because of, due to, owing to, by reason of, as a result of के कारण
28. **Liability** (noun) – debt, obligation, responsibility, burden, financial charge दायित्व
29. **Result in** (phrasal verb) – lead to, bring about, cause, produce, end in परिणामस्वरूप होना
30. **Extend** (verb) – provide, offer, grant, prolong, give प्रदान करना या बढ़ाना
31. **Financially-stressed** (adjective) – cash-strapped, money-strapped, financially burdened, economically strained, financially troubled आर्थिक रूप से संकटग्रस्त
32. **Duopoly** (noun) – a situation in which two suppliers dominate the market for a commodity or service. दो कंपनियों का प्रभुत्व वाला बाज़ार
33. **Detriment** (noun) – harm, damage, loss, injury, disadvantage हानि
34. **Facilitate** (verb) – make easier, promote, assist, aid, help सुविधा प्रदान करना
35. **Intervention** (noun) – involvement, interference, mediation, intercession, stepping in हस्तक्षेप
36. **Distort** (verb) – twist, misrepresent, skew, deform, warp विकृत करना

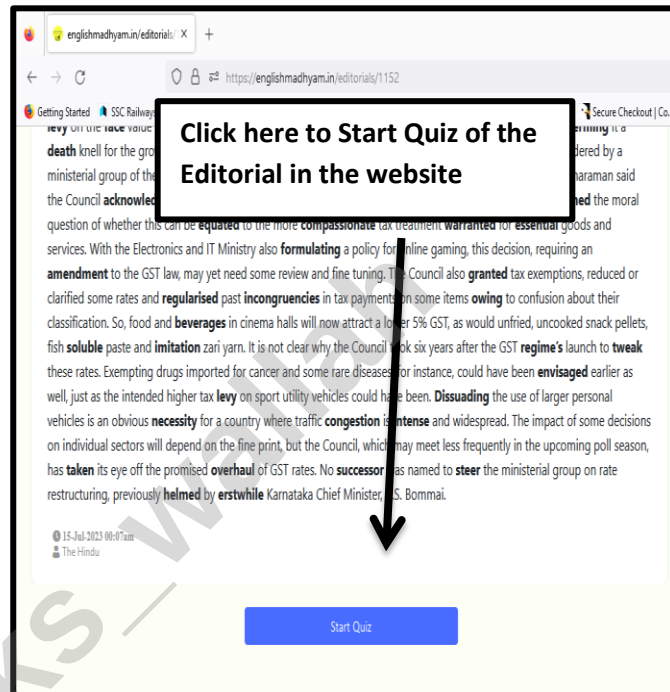
Summary of the Editorial

1. **Government's 2021 telecom relief package:** Included redefining adjusted gross revenue (AGR), reducing spectrum charges, and allowing moratoriums on dues.
2. **Equity conversion option:** Permitted converting deferred interest and dues into government equity.
3. **Vodafone Idea's debt conversion:**
 - **2023:** ₹16,133 crore interest dues converted to equity.
 - **2024:** ₹36,950 crore spectrum dues converted, making the government a ~49% owner.
4. **Promoters' reduced stakes:**
 - Aditya Birla Group's share fell from 14.41% to 9.5%.
 - Vodafone Plc's stake dropped from 24.39% to 16.07%.
5. **Operational control:** Promoters retain management despite reduced ownership.
6. **Short-term relief:** Equity conversion eases cash flow but doesn't guarantee a turnaround.
7. **Declining performance:**
 - Subscribers fell from 215 million (Q3 2023-24) to 199.8 million (Dec 2024).
 - ARPU (₹156) lags behind Airtel (₹233) and Jio (₹195).
 - Lowest data usage among the three telecom players.
8. **Turnaround plan:** Focus on 4G upgrades and 5G rollout to attract subscribers.
9. **Massive debt burden:**
 - Total dues: ~₹2.3 lakh crore (Dec 2024).
 - Includes ₹77,000 crore AGR dues and ₹1.4 lakh crore spectrum liability.
10. **Future conversions:** If more dues are converted, government stake could exceed 50%.
11. **Market duopoly risk:** Without Vodafone Idea, Jio and Airtel may dominate, harming competition.
12. **Policy focus:** Should protect competition, not individual struggling firms.
13. **Market distortion:** Government intervention risks disrupting natural market dynamics.
14. **Entry/exit facilitation:** Policy should encourage private players to enter/exit freely.
15. **Editorial stance:** Continued bailouts for Vodafone Idea are unsustainable; market-driven solutions are preferable.

Practice Exercise: Banking Pattern Based



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